

Jacob poked me in the ribs, then pointed to the screen to discuss his trade. “See that? It's a double bottom.”

His fingers traced the twin bottoms at EA with a nice peak (F) between them. “I can make money trading that.”

He placed a buy stop a penny above F. That order triggered at G, putting him into the stock near the breakout price. Immediately, he placed a stop a penny below the lower of the two bottoms, which in this case, was A, at 37.12. If the trade went bad, he'd lose about 10%.

“That's bigger than the 8% I like to see, but you have to be flexible,” he told me.

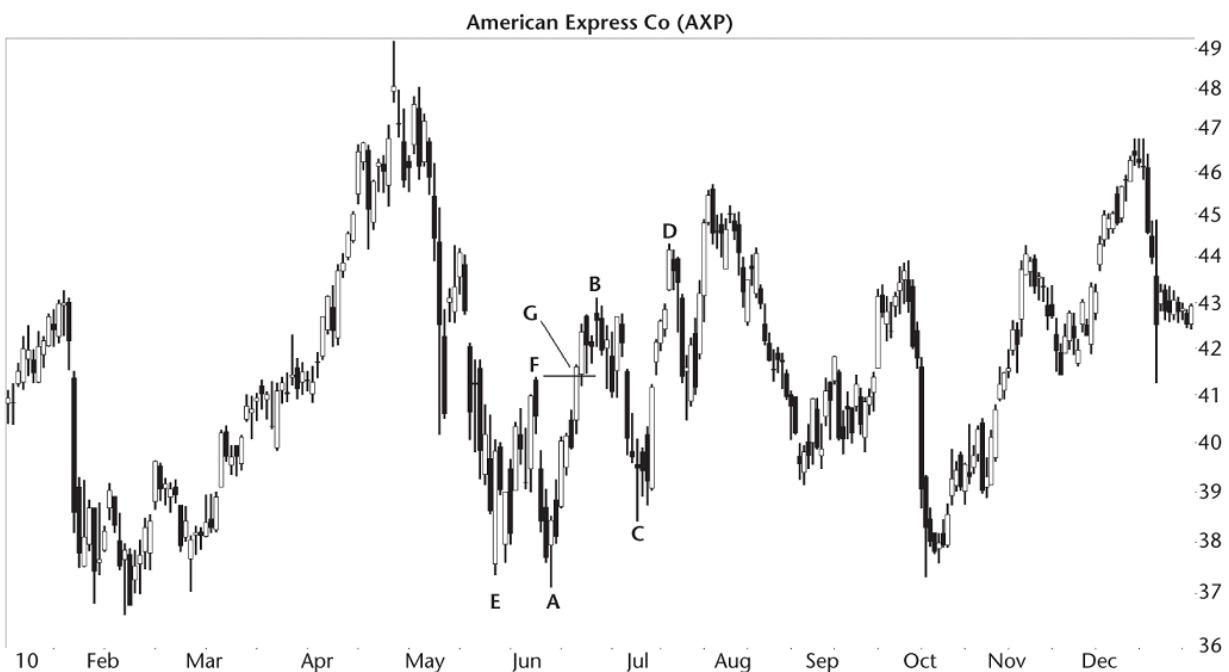


Figure 2.4 Jacob used the bearish AB=CD pattern to exit a trade.

For about a week, the stock cooperated and climbed to B before starting to retrace.

“The throwback and drop to C made me nervous. I started sweating bullets because I thought I'd be stopped out. Don't believe me? The sweat started pouring off me, and the furniture started floating. I'm not kidding. You can see the watermark.” He pointed to a smudge on the wall. His wide grin made the Grand Canyon look like a small ditch by comparison.